Understanding the Bank Scorecard

A plain-English companion to the SBI / HDFC Bank / ICICI Bank study | built 10 October 2026

What this study is trying to answer

Three banks, five financial years, one question: which of them is the strongest, and does the answer survive a reasonable disagreement about how much each aspect of performance should count?

Most comparisons of this kind pick a set of weights, add up the scores and declare a winner. The weakness is that the weights are one person's judgement. This study does the same scoring, then re-draws the weights ten thousand times to measure how often the answer changes. If the ranking is stable, that is a result. If it flips easily, that is also a result, and a more honest one than a single number.

The metrics, in plain English

Metric	What it means	Formula	Good	The trap
Gross NPA %	The share of the loan book that has stopped paying.	Gross NPAs / gross advances x 100	Lower is better	The denominator is gross advances, not total assets. Foreign-office advances are sometimes excluded.
Net NPA %	Bad loans still exposed after money has been set aside for them.	Net NPAs / net advances x 100	Lower is better	Net NPAs = gross NPAs minus the provisions held against them.
Provision coverage ratio	How much of the bad loan pile is already provided for.	Provisions on NPAs / gross NPAs x 100	Higher is better	Banks differ on whether technical write-offs sit in the numerator, which alone can push the ratio above 100%.
Slippage ratio	How fast good loans are turning bad.	Fresh NPAs in the period / standard advances at the start x 100	Lower is better	Rarely disclosed directly; often only in an investor presentation.
Credit cost	What bad loans cost the bank during the period.	Provisions and write-offs / average advances x 100	Lower is better	Both the denominator and the treatment of write-offs vary by bank.
Net interest margin	How profitable the loan book is per rupee of earning assets.	Net interest income / average earning assets x 100	Higher is better	The denominator differs between banks: average working funds versus average earning assets.
Return on assets	Profit per rupee of assets.	Net profit / average total assets x 100	Higher is better	Some banks use period-end assets rather than an average.
Return on equity	Profit per rupee of shareholders' money.	Net profit / average equity x 100	Higher is better	Depends heavily on leverage, which is why it is decomposed.
Cost-to-income ratio	The cost of running the bank per rupee of income.	Operating expenses / (net interest income + other income) x 100	Lower is better	HDFC Bank reports a core version of this ratio; if the others do not, the numbers are not directly comparable.
CRAR / CET1	Capital held against risk-weighted assets, and its highest-quality part.	Total capital (or CET1) / risk-weighted assets x 100	Higher is better	Check whether the figure is bank-level or group-level.

How to read the charts

- **One colour and one marker per bank, always.** Navy circles are SBI, gold squares are HDFC Bank, slate triangles are ICICI Bank. The shape matters as much as the colour, so the charts work in greyscale.

• **The dotted vertical line marks the HDFC merger.** HDFC Bank absorbed HDFC Ltd on 1 July 2023, so FY2024 contains roughly nine months of the combined entity. A line that crosses it is not measuring one business.

• **Small differences look large in a score.** When only three banks are compared, the best always scores 100 and the worst always scores 0, whatever the real gap. Never read a score without the raw value.

• **A blank cell is a finding.** Where a number could not be sourced from a primary document it is left empty. Nothing is estimated to fill it, and a missing value is never silently treated as zero.

• **The coverage grid shows what is actually supported.** It marks each bank-year as human-verified, extracted but unchecked, or not found. Read it before trusting any other exhibit.

What a score of 100 means - and does not mean

A score of 100 means the bank was the best of these three in that year. It does not mean the bank is strong in absolute terms, it does not compare against the banking system, and it is not a view on the shares. With three banks, the spread between 0 and 100 is produced by whatever difference exists, however small.

Interview preparation

The questions a credit or equity analyst is most likely to ask about this work, with the answers this project supports.

Why compare standalone rather than consolidated financials?

Consolidated figures include subsidiaries and joint ventures, so the comparison would reflect different group structures as much as different banking performance. Standalone isolates the bank.

Why does the HDFC merger matter so much?

It changes the size of the balance sheet overnight. Any ratio computed across FY2024 partly measures the merger rather than management performance, so the merger is marked on every time series and the scorecard is run again on a merger-clean window.

Why not score net profit directly?

Absolute rupees rank banks by size. SBI's balance sheet is a multiple of the other two, so a profit league table would simply reproduce a size ordering. Only ratios enter the score.

What is the difference between gross and net NPA?

Gross NPA is the whole bad-loan pile. Net NPA is what remains after subtracting the provisions held against it. The gap between them is the provision coverage ratio.

Why is provision coverage ratio a trap?

Because banks define it differently. A bank that includes technical write-offs in the numerator can report above 100%. That is a definitional difference, not better risk management.

Why decompose return on equity?

ROE = ROA x leverage. Two banks can report the same ROE with very different risk profiles - one earning more per rupee of assets, the other simply carrying more assets per rupee of equity.

What is the sensitivity test for?

The pillar weights are a judgement. Re-drawing them ten thousand times from a uniform distribution over the weight triangle turns 'I chose 35/40/25' into 'the leader holds in X% of reasonable weightings'.

Why refuse to score until values are verified?

Because a wrong number that looks plausible is worse than a blank. Automated extraction from annual reports can pick up a segment figure, or a multi-year row's first column, and label it as this year's bank level number. The pipeline therefore treats machine-extracted values as candidates and only scores human-verified ones.

What would falsify the conclusion?

A change of weighting that moves the leader, a different normalisation method that reorders the banks, or dropping a single metric that reverses the ranking. All three are tested explicitly.

How do you know the extracted numbers are right?

Each carries the document name, the page and the exact matched line. Verification means reading that line against the source. The coverage grid reports the state of every cell.

What is the biggest weakness of the study?

The comparability of reported ratios across banks. Definitions of cost-to-income, provision coverage and margin denominators differ, and those differences are flagged rather than smoothed away.

Does this say anything about whether to buy the shares?

No. It analyses published disclosures on a standalone basis. It contains no valuation, no forecast and no recommendation.

Educational analysis of publicly available disclosures. Not investment advice. Bank names are used for identification only and this work is not affiliated with or reviewed by any of them.